



LAZY DOG

— CAPITAL —

HANDOFF BRIEF — Deed in Lieu of Foreclosure Workout Packet

Paste this into the new chat as your first message, and attach the seven files listed at the bottom.

WHAT THIS IS

Lazy Dog Capital LLC (Lewis McKnight and Stephen Maner, Managers — Richardson, TX; hard-money first-lien lending to residential fix-and-flip borrowers) is building a **deed in lieu of foreclosure workout packet**. Preventive — no deal has gone bad. Seven documents are drafted and awaiting review by Lewis's Texas real estate attorney.

DECISIONS ALREADY MADE — DO NOT RE-OPEN

Structure

- **Nothing is signed at closing.** An earlier approach — a Conditional Deed in Lieu Agreement executed at closing with triggers — was drafted and then **deliberately abandoned**. Reason: a deed or pre-agreement to convey signed at origination risks being struck as an unlawful clog on the equity of redemption, and it buys almost nothing since it can't compel a hostile borrower anyway.
- The packet is a **post-default workout offer**, held in the template folder and sent when a deal goes bad.
- **No equity waiver.** Rejected — void as a clog if signed at closing, and it can't reach the claims that actually matter (a bankruptcy trustee's avoidance power, an unpaid contractor's TUFTA claim) since those belong to third parties, not the borrower.
- **Special warranty deed**, not general warranty or quitclaim.
- Grantee is **Lazy Dog Capital LLC** directly, not a holding entity.
- The deed **does not reference the Settlement Agreement by name** — terms stay private. It does recite "in lieu of foreclosure," which is unavoidable for the non-merger language to make sense.

Equity true-up

- Mechanism is **true-up at resale**, not payment at conveyance. Chosen because a half-finished rehab can't be reliably valued.
- **12-month** true-up period from the recording date.
- **Disposition fee 5%** of gross sale price (started at 10%, reduced — a high fee makes a surplus unlikely and weakens the true-up's defensive value).
- Deductions before surplus: Total Debt · Completion Costs · Carrying Costs · Selling Costs · Disposition Fee. Borrower gets **100% of any surplus**.

- Selling Costs explicitly include **both listing and buyer's-side commissions**, title, escrow, survey, warranty, concessions.
- **Accounting is a summary statement only** — five line items and a bottom number. No invoices, no receipts, no borrower objection process. Lender's good-faith calculation is final and binding. ("Made in good faith" stays — three words that keep the clause from being struck as illusory.)
- True-up is drafted as an **unsecured personal contract right against Lender**, expressly not a lien or interest in the property.

Consideration

- Section 2 of the Settlement Agreement is a **checkbox menu** selected per deal: 2.1 guarantee release · 2.2 deficiency waiver · 2.3 other. Nothing pre-committed. Cash, if offered, goes under 2.3.
- **Credit reporting is at Lender's sole discretion** and is expressly **not** consideration. Any reporting must be accurate — no promise to suppress or misreport (FCRA furnish liability).

Removed on purpose

- The representation that property value does not exceed Total Debt — it contradicted the true-up, which exists precisely because a surplus might materialize.
- All attorney-note blockquotes stripped from the drafts. They were a roadmap to the documents' weak points and shouldn't be visible to a borrower.

Loan program changes decided in the same conversation (*ripple across the whole document suite — not yet applied*)

- **9-month base term** (was 6)
- **One 3-month extension at 1% of original principal** (was one 6-month extension)
- Extension is **automatic on payment of the fee, but unavailable if a default exists**

FACTS THAT SHAPE EVERYTHING

- **No title company.** They won't engage without writing a policy, and Lewis doesn't need one. So: no title insurance on the conveyance, no underwriter second-opinion, no seasoning path for resale. Lien searches come from an independent abstractor, the attorney's office, or direct county clerk + district clerk searches.
- **Trustee under the Deed of Trust is Lewis's Texas real estate attorney**, who also co-owns a few rentals with him. Relationship judged far enough removed; standard practice for a lender's attorney to serve as trustee.
- **Attorney review is a hard gate.** Nothing goes live until he signs off.

THE CORE ANALYSIS — CARRY THIS FORWARD

Deed in lieu is the exception; foreclosure is the default. Texas non-judicial foreclosure runs ~50-60 days (20-day cure notice, 21-day notice of sale, first Tuesday) and produces clean insurable title.

The controlling question is whether the property has equity above Total Debt.

- Underwater or thin → deed in lieu is appropriate

- Meaningful equity → **foreclose**. *BFP v. Resolution Trust* makes a foreclosure sale price reasonably equivalent value as a matter of law; courts have not extended that protection to private conveyances.

Three risks the packet manages:

1. **Bankruptcy clawback** — preference (90 days) and fraudulent transfer (2 yrs federal / 4 yrs TUFTA). Post-2009 ALTA policies exclude creditors' rights coverage, so this is uninsured regardless.
2. **Third-party TUFTA claims** — an unpaid contractor can sue directly, without the borrower filing bankruptcy. On a stalled flip this is the most likely plaintiff.
3. **Junior liens survive a deed in lieu** (foreclosure wipes them). Remedy is the **non-merger clause**: the Deed of Trust lien is preserved after taking fee title, so it can be foreclosed later to clear juniors. **Never record a Release of Lien.**

Texas mechanic's lien trap: liens relate back to **inception of work**, not filing date. A lien filed after the Deed of Trust may still prime it if work began first. Foreclosing the preserved lien will not clear it.

POST-ACCEPTANCE FILINGS (NO TITLE COMPANY, SO THIS IS ON LEWIS)

- Special Warranty Deed — county clerk. **Grantee's mailing address must appear on the face** (Tex. Prop. Code § 11.003).
- **IRS Form 1099-A** — mandatory on acquisition (borrower copy Jan 31; IRS Feb 28, or Mar 31 e-filed)
- **IRS Form 1099-C** — if the deficiency is waived
- County appraisal district · HOA · vacant/renovation insurance effective the recording date · Capital Partner notice
- **Do NOT record a Release of Lien**

THE SEVEN DOCUMENTS

#	DOCUMENT	AUDIENCE
1	Workout Worksheet	Internal — token source
2	Deed in Lieu Acceptance Checklist	Internal only — never send
3	Cover Letter — deed in lieu offer	Borrower
4	Settlement and Release Agreement	Borrower
5	Estoppel Affidavit + Schedule 1	Borrower, sworn/notarized
6	Special Warranty Deed in Lieu	Borrower, notarized — recorded
7	Bill of Sale and Assignment + Schedules A/B/C	Borrower

Also drafted but **abandoned**: Conditional Deed in Lieu Agreement (the sign-at-closing approach). Keep for attorney context only.

All use {{TOKEN}} placeholders matching the existing Lazy Dog closing-merge convention.

OPEN ITEMS

4. **Attorney review** — the gate. Three specific questions for him:
 - Do Sections 3–4 of the Settlement Agreement still read as a *genuine* equity mechanism, given how lender-favorable they are read together?
 - Is the non-merger language in the deed sufficient without a title examiner reviewing it?
 - Should a reasonably-equivalent-value recital come back somewhere, phrased as the *package* being fair rather than the property being worth less than the debt?
5. `{{TITLE\_COMPANY}}` appears in Estoppel Affidavit § 9.1 and has no filler — no title company involved. Strike the reference or name the party the affidavit runs to.
6. **Capture at closing going forward:** {{BORROWER_ENTITY_TYPE}} and {{TRUSTEE_NAME}} — needed at workout time, unavailable if not captured earlier.
7. **Master Token Registry** — reconcile tokens across the closing merge masters and this packet. Needs Lazy_Dog_Merge_Masters.zip and Closing_Worksheet_Fillable.pdf attached.
8. **Apply the 9-month / 3-month extension change** across the Note, Deed of Trust, Loan Proposal, Closing Worksheet, Borrower FAQ, Borrower Guide, Program Overview.
9. Clean templates (DRAFT banners stripped) once the attorney signs off.

WORKING STYLE

Lewis works fast and iteratively, prefers execution over clarifying questions, and corrects in real time. When he does want questions, ask **one at a time**. House address: 3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989. Both Managers get signature lines with individual date fields on every document.

FILES TO ATTACH

10. Workout_Worksheet.md
11. Deed_in_Lieu_Acceptance_Checklist.md
12. Deed_in_Lieu_Cover_Letter_DRAFT.md
13. Settlement_and_Release_Agreement_DRAFT.md
14. Estoppel_Affidavit_DRAFT.md
15. Special_Warranty_Deed_in_Lieu_DRAFT.md
16. Bill_of_Sale_and_Assignment_DRAFT.md
17. Conditional_Deed_in_Lieu_Agreement_DRAFT.md (*abandoned approach — attorney context only*)